

LoanServe — Prepayment and Foreclosure Policy

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Scope and Application

This policy governs every payment a borrower makes ahead of the agreed schedule, whether it closes the loan or reduces it. A borrower who closes a loan before the end of its tenure may hear it called foreclosure, preclosure or early closure, and the charges set out here apply whichever word is used. The policy applies to home, vehicle, gold and personal loans, and the charge differs by product and by rate type. Nothing here prevents a borrower from prepaying; it sets out only what a prepayment costs and how it is applied.

Foreclosure Charges

The charge for paying a loan off early, which this policy calls a foreclosure charge, depends on the product and on whether the rate is fixed or floating. Floating rate home loans sanctioned to individual borrowers carry no foreclosure charge. Fixed rate home loans attract a foreclosure charge of 2 percent of the outstanding principal. Personal loans attract a foreclosure charge of 4 percent of the outstanding principal if closed within twelve months of disbursal. Gold loans carry no foreclosure charge after six months from disbursal.

Part Prepayment

Part prepayment is permitted once every quarter subject to a minimum of one instalment amount. Part prepayment reduces the outstanding principal and the borrower may choose to reduce either the tenure or the instalment.

Process

A foreclosure quotation is valid for seven calendar days from the date of issue. The no objection certificate is issued within fifteen working days of full settlement.

How a Prepayment Is Applied

A part prepayment is applied first to any charge outstanding, then to interest accrued to the date of payment, and only then to principal. A payment received on a day other than the instalment due date earns no credit against interest already accrued. The revised amortisation schedule is issued within seven working days of the payment being applied. A part prepayment does not defer the next instalment, which remains payable on its due date.

Requesting a Closure

A borrower asking to close a loan early is issued a foreclosure quotation showing the outstanding principal, the interest to the intended closure date and the charge. The quotation may be requested at a branch, on the customer portal or by written request to the servicing desk. Payment must be made by a mode that clears finally, and a closure is not recorded against an instrument that has not cleared. Where the quotation expires before payment, a fresh quotation is issued without a charge.

After Closure

The no objection certificate and, where security was held, the release of that security follow the timelines in the terms for that product. The credit bureau record is updated to show the account closed within thirty days of settlement. Any amount received in excess of the settlement figure is refunded to the registered bank account within fifteen working days. A closed account is not reopened, and further borrowing requires a fresh application.

Definitions

'Foreclosure' means closing the loan by paying the entire outstanding before the agreed tenure ends. 'Part prepayment' means a payment towards principal larger than one instalment that does not close the loan.

Worked Example

A fixed rate home loan carrying an outstanding principal of Rs 30,00,000 and closed early attracts a foreclosure charge of 2 percent, which is Rs 60,000.

Exceptions and Discretion

No foreclosure charge is levied where the loan is closed from the proceeds of an insurance claim on the death of the borrower. No foreclosure charge is levied on a floating rate loan taken by an individual, whatever the product. The charge on a fixed rate loan is not waived on the ground that the borrower is moving to another lender. A waiver granted in a hardship case is approved at a level above the servicing branch and recorded with its reason.

Records and Evidence

Foreclosure quotations, the settlement receipt and the no objection certificate are retained for eight years from closure. The computation showing how the charge was arrived at is retained with the quotation. A borrower may obtain a duplicate no objection certificate at any time on payment of the retrieval charge.

Related Policies

The Prepayment and Foreclosure Policy should be read with: Interest Rate Policy, Top-Up Loan Rules, Balance Transfer Policy.

Regulatory and Compliance Notes

This policy follows the directions prohibiting foreclosure charges on floating rate term loans granted to individual borrowers. The charge applicable on early closure is disclosed in the key facts statement before the borrower accepts the loan. No charge is levied on a prepayment that has not been disclosed at sanction.

Review and Governance

Owned by the Retail Assets team. Foreclosure charges are reviewed whenever the regulator revises the prepayment norms.